

BUSINESS PROBLEM STATEMENT

Project: **Sales Forecasting & Revenue Trend Analysis**

Company (fictional): BrightCart Consumer Goods, an FMCG company selling across South Asia, the Middle East and Southeast Asia.

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1. Background

BrightCart sells packaged foods, beverages, personal care, home care and health and wellness products through retail chains, e-commerce platforms and distributors. Sales targets and forecasts are set annually and revised by regional managers using spreadsheets and judgement.

2. Problem

Actual revenue regularly differs from the forecast. Leadership does not know how large the gap is, which regions and products cause it, or whether it is random or systematic. As a result, inventory planning, marketing budgets and target setting are unreliable.

3. Stakeholders

Chief Financial Officer: needs a trustworthy revenue outlook for budgeting.

Head of Sales: needs to know which regions and products miss targets and why.

Demand Planning Manager: needs a forecast accurate enough to plan inventory.

Marketing Head: needs to know where spend produces revenue.

4. Decisions this project must support

Where to reallocate marketing spend over the next two quarters.

Which regions and products need revised targets.

How much inventory to plan for the festive season.

Whether the current forecasting method should be replaced.

5. Business questions

How accurate has the existing forecast been, and is it biased up or down?

Which regions, products and seasons show the largest forecast gaps?

Is revenue growing, and is the growth profitable?

What will revenue look like for the next 6 months under base, best and worst cases?

What is causing forecast misses?

6. Success criteria

Forecast accuracy measured and reported by region and product.

A forecasting method selected with evidence.

A 6-month forecast with scenarios.

At least three prioritised, costed recommendations.

7. Scope

In scope: 24 months of historical order data (Jan 2024 to Dec 2025), three regions, five product categories.

Out of scope: competitor data, supply-side constraints, pricing experiments.

8. Constraints and assumptions

Data is limited to 100 order records, so the model is illustrative.

No major external shocks are assumed in the forecast period.

Prices rise about 4 to 5 percent from 2025 as seen in the data.

